

We will begin this chapter with a review of the prominent researchers in the field of behavioral finance, all of whom promote a deeper understanding of the benefits of the behavioral finance discipline. We will then review the key differences debate between standard finance and behavioral finance. By doing so, we can establish a common understanding of what we mean when we say *behavioral finance*, which will in turn permit us to understand the use of this term as it applies directly to the practice of wealth management. This chapter will finish with a summary of the role of behavioral finance in dealing with private clients and how the practical application of behavioral finance can enhance an advisory relationship.

BEHAVIORAL FINANCE: THE BIG PICTURE

Behavioral finance, commonly defined as the application of psychology to finance, has become a very hot topic, generating credence with the rupture of the tech-stock bubble in March of 2000, and has been pushed to the forefront of both investors' and advisors' minds with the financial market meltdown of 2008–2009. While the term *behavioral finance* is bandied about in books, magazine articles, and investment papers, many people lack a firm understanding of the concepts behind behavioral finance. Additional confusion may arise from a proliferation of topics resembling behavioral finance, at least in name, including: behavioral science, investor psychology, cognitive psychology, behavioral economics, experimental economics, and cognitive science, to name a few. Furthermore, many investor psychology books that have entered the market recently refer to various aspects of behavioral finance but fail to fully define it. This section will try to communicate a more detailed understanding of the term *behavioral finance*. First, we will discuss some of the popular authors in the field and review the outstanding work they have done (not an exhaustive list), which will provide a broad overview of the subject. We will then examine the two primary subtopics in behavioral finance: behavioral finance micro and behavioral finance macro. Finally, we will observe the ways in which behavioral finance applies specifically to wealth management, the focus of this book.

Key Figures in the Field

In Chapter 2 we will review a history of behavioral finance. In this section, we will review some key figures in the field who have more recently contributed exceptionally brilliant work to the field of behavioral finance. Most of the people we will review here are active academics, but many of them have also